

BUS 577 – Platform Power – Summer 2026

Session 1: Platform Fundamentals: Pipeline vs. Platform Thinking

Thursday, July 9, 2026

6:00 – 7:30 PM PT - Zoom

Alex Cheng

WHO I AM

Alex Cheng

Co-Founder & General Partner
Zenith Venture Studio

I'm a practitioner, not a career academic - I build and invest in platform and venture-backed companies. This course is taught from that seat.



Connect on LinkedIn
linkedin.com/in/alexcheng



1:1 Zoom, anytime
Just message me to set one up

Why this matters for you

- Every framework in this course, I've used to evaluate or build a real platform business.
- Cases we'll debate aren't hypothetical - I'll bring in what I'm seeing right now in venture and platform deals.
- I want this to be useful to your career and ventures, not just a grade - so treat me as a **resource**, not just an instructor.

Reach out anytime - about the course, a case, or your own venture idea. That's genuinely part of why I'm teaching this.

This is a seminar, not a lecture

What that means in practice



You read/watch before class

Every session has required readings – I won't re-teach them line by line



We debate and discuss live

Class time is for applying, questioning, and arguing the frameworks – not absorbing them for the first time.



Everyone's expected to contribute

Chat, polls, and being called on are all part of the normal rhythm of this course.

PARTICIPATION POLICY

10% of your grade

Half for attendance

Half for the quality of your contributions to discussion

Come with a question or a point of view from the reading – that's what gets counted, not just showing up.

Attendance + contribution tracked by your TA, Reza, every session.

A note on groups



Two group case studies

Epic Games (15%) and Zynga/Facebook platform dependency (15%)



Individual work stays the majority

Group case studies are a smaller share of your grade than individual quizzes and the application paper.



Self-form your group by July 14

Groups of 4-5. Once confirmed, email your members to Reza. Not in a group by Tue, July 14? You'll be randomly assigned.

ICE BREAKER

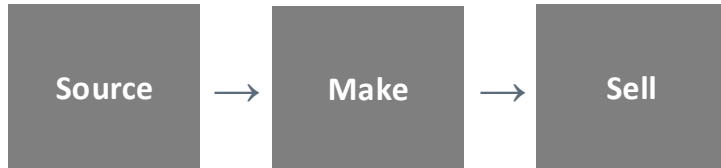
Type into chat right now

1. **Your name**
2. **One platform business (existing or new) you'd genuinely consider investing in right now, and why**

Everyone types at once - no need to wait your turn.

Pipelines, Platforms and the New Rules of Strategy

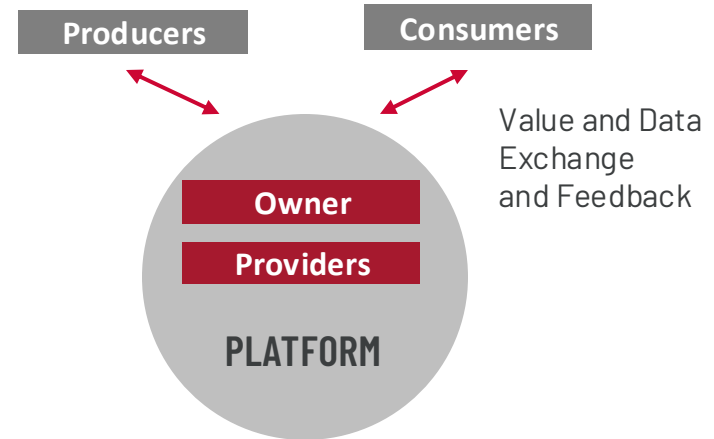
PIPELINE



Linear value chain.

Value ends with the customer at the end of the line.

PLATFORM



Facilitates exchange between outside producers and consumers. Value comes from the network

Pipelines, Platforms and the New Rules of Strategy

Q: What's an "interaction failure", and why does it matter more to a platform than a pipeline business?

Aggregation theory

1. The Shift

- Pre-internet, distributors won by integrating backward – controlling scarce supply.
- Free distribution flipped that: distributors now integrate forward, owning the customer relationship instead

Aggregation theory

2. The Playbook

- Modularize the supplier (commoditize what used to be exclusive)
- Integrate the customer (own the relationship and the data)

Aggregation theory

3. Three Tiers of Aggregators

- **Google:** Aggregates content it doesn't own
- **Facebook:** Its suppliers ARE its users – exclusive access
- **Uber / Airbnb:** Digitizes something intangible – trust, dispatch

Aggregation theory

Q: Why does Thompson argue Facebook is in an even stronger position than Google, even though both are aggregators?

Is it a Platform?

Netflix

Streams its own licensed
and original content

PLATFORM / NOT A PLATFORM

Vote now – I'll ask a few of you to defend your vote.

Is it a Platform?

Airbnb

Independent hosts,
independent guests,
Airbnb takes a cut

PLATFORM / NOT A PLATFORM

Vote now – I'll ask a few of you to defend your vote.

What is actually a platform?

Shopify

Powers independent
merchants' own stores

Platform or not

Clio

Practice-management
software for law firms

Platform or not

Claude

AI model, accessed
directly or via API

Platform or not

Substack

Publishing tool and
newsletter marketplace

Platform or not

Platform Canvas

1. Pick your own business or a startup idea you have in mind
2. Map it: is it closer to a pipeline or a platform?
3. If it's a platform (even partly), who are the producers, consumers, providers and owners?

Answer in Zoom Poll

What we did today

- Pipeline vs. platform: control vs. orchestration
- Four participant types: owner, provider, producer, consumer
- No clean answers – Shopify, Clio, Claude, Substack all resist easy labels

Next Session

Session 2 – Network Effects

The engine behind why platforms compound value – and how to tell a real effect from a weak one

Questions or want to talk further? Find me on LinkedIn, send me email or set up a 1:1 Zoom